Money borrowed within the country from various sources and various instruments is called internal borrowing.

R.2.1.I. A. a. Market Loans (net)

Net market loans = Gross market loans – Repayment of old loans

Market Loans: Government of India's borrowing through dated government securities is called Market Loan. Dated government securities are long term (more than one year) debt instruments. Generally, the tenor of dated securities ranges from 5 years to 40 years.

These are sold through auctions. Since 2002–03, the Central Government has been announcing half-yearly Indicative Market Borrowing Calendar based on its core borrowing requirements. These auctions are conducted by the Reserve Bank of India's Public Debt Office (PDO), as debt manager to the Central Government. The dated securities are mostly Fixed Coupon Securities. The Government has also issued Floating Rate Bonds (FRBs) on which the coupon rate are reset semi-annually by adding a 'spread' to the base rate, determined through auction. Coupon means rate of interest. Interest is payable semi-annually on both fixed as well as floating rate bonds.

R.2.1.I. A. b. Treasury Bills Issued to RBI and Banks

Treasury bills are securities issued by the Government treasury. They are of short term nature and in this regard they differ from market loans. They are non-interest bearing (zero interest / zero coupons). These kinds of bonds are called Zero coupon bonds. They are issued at a discount rate. It means, security worth of ₹1,000 is issued against receipt of an amount lower than ₹1000. The purchaser of security can redeem the full ₹1,000 at a particular date. This is called redeem at par (original value).

There are a number of Treasury bills of differing maturity. Till 1991–